above. On a Rs 40,000 smartphone, for instance, that works out to Rs 160. To protect petrol dealers like Singh, and other essential and thin-margin sectors, it's kept at a flat Rs 5 per transaction above Rs 2,000. Strictly speaking, it is not a fee on consumers; it is to be paid by merchants and shared among participants in the payments ecosystem.

The timing matters because UPI is no longer simply a domestic payments success story. It turned 10 on August 25. Two weeks later, Prime Minister Narendra Modi used the Global Fintech Fest in Mumbai to sketch out its second decade. UPI, he said, was live in 11 countries, with the next task being to connect it to other countries' systems and make remittances cheaper. His larger ambition: "We can set our own rules and standards and connect them with the world."

Union commerce and industry minister Piyush Goyal carried the same pitch to the BRICS Business Forum. The leaders' declaration, however, made no such commitment; it merely asked the Payment Task Force to continue studying the idea for a cross-border platform. Soon after, on September 15, the National Payments Corporation of India (NPCI) announced the new MDR framework for UPI at home, to take effect a month later.

MONEY MATTERS

The Rs 2,000 threshold looks arbitrary until one sees what preceded it. Under the incentive scheme, a small merchant payment of up to Rs 2,000 earned the ecosystem 0.15 per cent. Anything above that carried neither MDR nor an incentive, leaving banks and apps to process the transactions without compensation. The new charge, therefore, seeks to correct an anomaly.

The economics have been tightening for some time. Incentive payouts reached Rs 3,631 crore in FY24, while the latest allocation was Rs 1,500 crore, against an industry estimate of roughly Rs 20,000 crore a year to run the system. Reserve Bank of India (RBI) governor Sanjay Malhotra made the basic point last year: UPI was never costless; somebody was paying for it. The law was amended this August to replace the blanket prohibition on charges with a framework under which the Centre could notify permitted charges. Within a month, the new fee was announced.

> "Keeping UPI up means continuous spending on technology, cybersecurity and fraud prevention, and no ecosystem can be subsidised forever"
>
> **RAJNISH KUMAR**
> *Former SBI chairman; Chairman, Mastercard India and BharatPe*

There is another useful piece of context. Before 2020, UPI carried an MDR of up to 0.3 per cent. The new rate is 0.4 per cent, but over a much narrower band of transactions. Yet, the 96 per cent figure the government cites for protected P2M UPI transactions is based on volume, not value. Even though only 4 per cent of P2M payments in FY26 exceeded Rs 2,000, they accounted for around two-thirds of P2M transaction value. For August 2026, that would work out to nearly Rs 6 lakh crore. Analysts, thus, put the annual MDR pool at around Rs 17,000 crore, with banks taking the largest share.

There is another wrinkle. Walmart-backed PhonePe and Google Pay handle nearly four of every five UPI transactions. NPCI's cap limiting any single UPI app to 30 per cent of transaction volume, postponed twice, is due to be enforced on December 31. So, for Indian players such as Paytm

UPI CHARGES

WHAT CHANGES

From Oct. 15, Merchant Discount Rate (MDR) returns for specified UPI merchant transactions

- **NOT A FEE ON CONSUMERS:** MDR is a charge within the merchant payments ecosystem and is distributed among banks, payment service providers and UPI app providers
- **PERSON-TO-PERSON TRANSFERS:** Remain completely free, account for 70% of UPI transaction value
- **MERCHANT EXEMPTION:** No MDR on person-to-merchant payments up to ₹2,000; those receiving up to ₹1 lakh a month through QR codes also exempted
- **ABOVE ₹2,000:** MDR of 0.4% of the transaction value, capped at ₹300 for transactions of ₹75,000 and above
- **ESSENTIAL SECTORS:** Railways, telecom, insurance, fuel and agricultural inputs will attract a flat ₹5 MDR on transactions above ₹2,000
- **CAPITAL-MARKET PAYMENTS:** Mutual funds, securities, stockbrokers and dealers will attract 0.02% MDR, capped at ₹300
- **NO PASS-THROUGH:** Banks have been advised to ensure merchants do not pass MDR on to customers; UPI app providers cannot impose platform fees or hidden charges